

Lululemon Athletica

NASDAQ : LULU · \$11.55B mkt cap · 114M sh · \$1.8B cash, zero debt · \$1.8B cash, no debt; ~114M shares; heavy buyback, no dividend; Revenue \$11.1B  
Mature-Company FY25 (+5%, decelerating from +42%); ~22% op margin, ~\$1.58B FCF; Down ~60% from the \$340 high; US declining,  
DCF China/international +20-29%

\$101.30

THE CENTRAL QUESTION

Is lululemon's ~60% de-rating to ~10x FCF an overshoot on a still-profitable premium brand — or the early innings of structural brand impairment (US decline, Alo/Vuori share loss)?

Lululemon trades at ~\$15B (≈\$127/sh, down ~60% from \$340) — ~10x FCF on \$11.1B revenue, ~22% operating margins, net cash and a heavy buyback. Growth has decelerated hard (+42%→+5%, guided +2-4%): the US is shrinking (-1 to -3%) while China/international compound +20-29%. The mature DCF asks whether the brand stabilizes and defends margins, or whether dupes (Alo, Vuori) and stale product structurally impair it. The finding: even pricing real brand-impairment downside (ultra-bear -34%), the modal stabilization case at 10x FCF implies the de-rating overshoot.

PROBABILITY-WEIGHTED EXPECTED VALUE

\$205.93

expected fair value today  
+103.3% vs spot \$101.30

FORWARD COMPOUNDED VALUE

| +5y        | +10y       | +15y       | +20y        |
|------------|------------|------------|-------------|
| \$327.18   | \$520.37   | \$828.57   | \$1,320.84  |
| 3.23× spot | 5.14× spot | 8.18× spot | 13.04× spot |

WEIGHTING RATIONALE

- Ultra Bear 15% Brand impairment; US decline; ~\$85 (-34%).
- Bear 32% Share loss; US shrinks; ex-growth; ~\$158 (+24%).
- Base 33% US stabilizes + China/intl; ~\$236 (+85%).
- Bull 15% New-CEO turnaround; ~\$324 (+155%).
- Ultra Bull 5% Full re-rate + China; ~\$409 (+222%).

Bull (10%) + Ultra Bull (3%) together contribute \$44.67 — 22% of the \$205.93 expected value despite 13% combined probability. Today's spot (\$101.30) sits 51% below the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



| ULTRA BEAR                                    | \$84.51        | BEAR                                         | \$157.77       | BASE                                          | \$235.52        | BULL                                        | \$324.02        | ULTRA BULL                                 | \$409.07        |
|-----------------------------------------------|----------------|----------------------------------------------|----------------|-----------------------------------------------|-----------------|---------------------------------------------|-----------------|--------------------------------------------|-----------------|
|                                               | -16.6% vs spot |                                              | +55.7% vs spot |                                               | +132.5% vs spot |                                             | +219.9% vs spot |                                            | +303.8% vs spot |
| CAGR -3.8% WACC 11.5%<br>CAGR -3.8% Prob 15%  |                | CAGR +1.0% WACC 10.5%<br>CAGR +1.0% Prob 27% |                | CAGR +4.2% WACC 9.5%<br>CAGR +4.2% Prob 45%   |                 | CAGR +6.6% WACC 9.0%<br>CAGR +6.6% Prob 10% |                 | CAGR +9.2% WACC 8.5%<br>CAGR +9.2% Prob 3% |                 |
| Brand impairment; US decline; margins crater. |                | Share loss continues; US shrinks; capped.    |                | US stabilizes; China/international compounds. |                 | New-CEO turnaround; margin recovery.        |                 | Full re-rate; China + footwear scale.      |                 |

AR  
2EB

ALAMEDA RESEARCH  
2: ELECTRIC BOOGALOO  
LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

Lululemon Athletica scenario narratives

PROBABILITY WEIGHTS

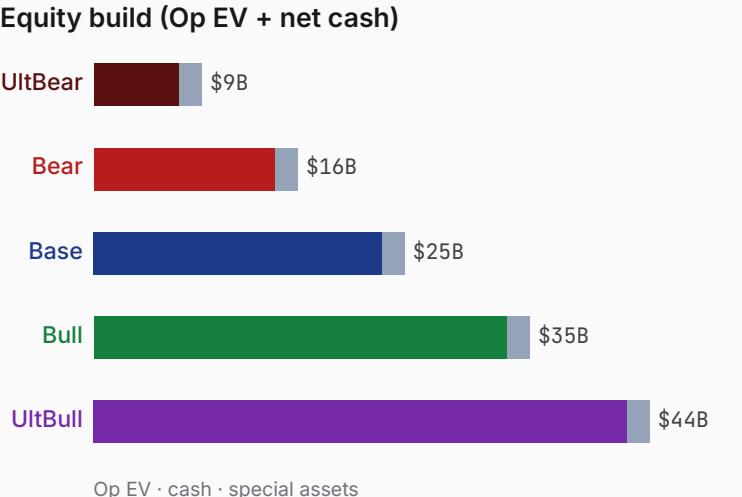
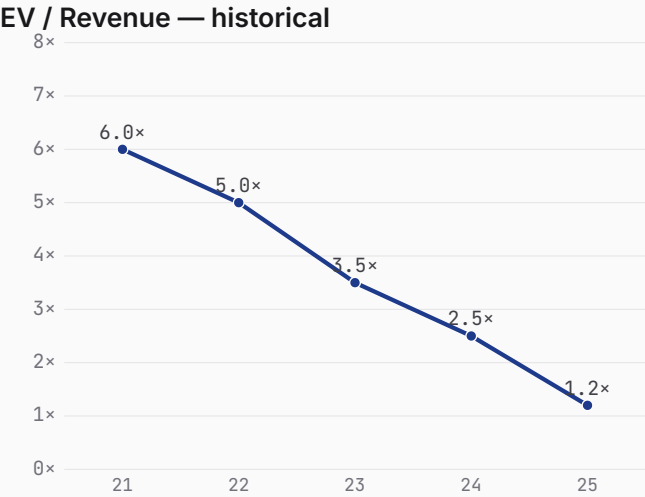
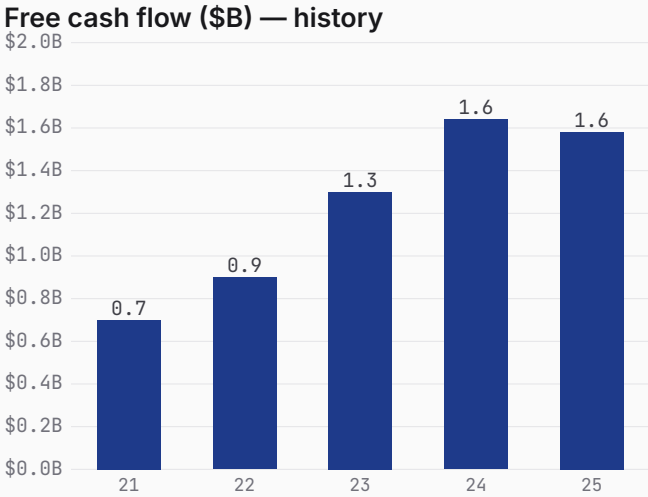
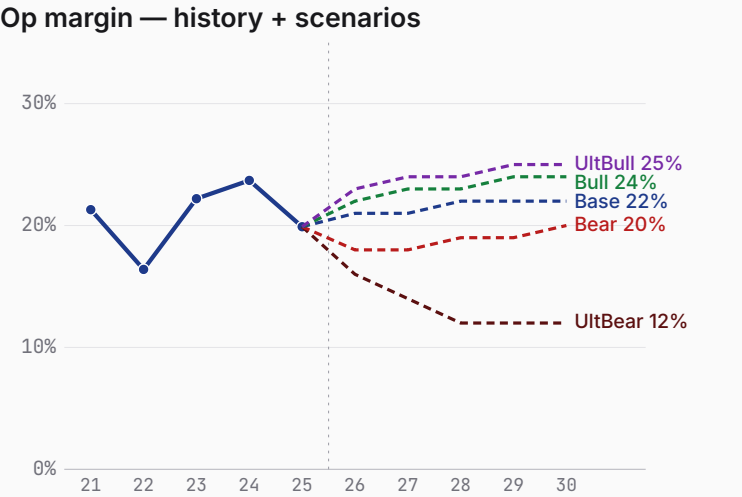
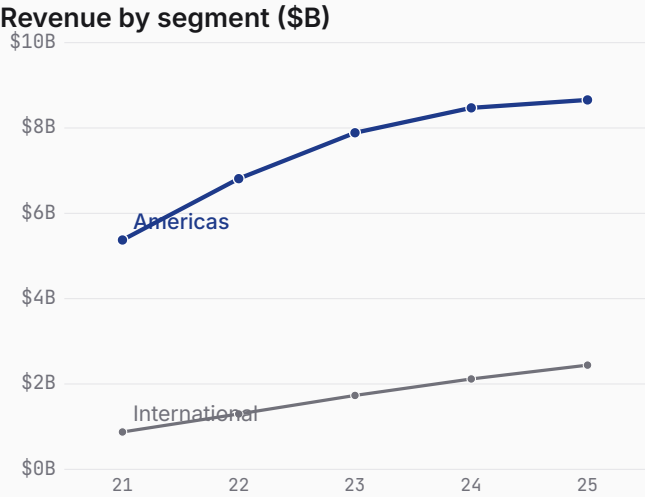
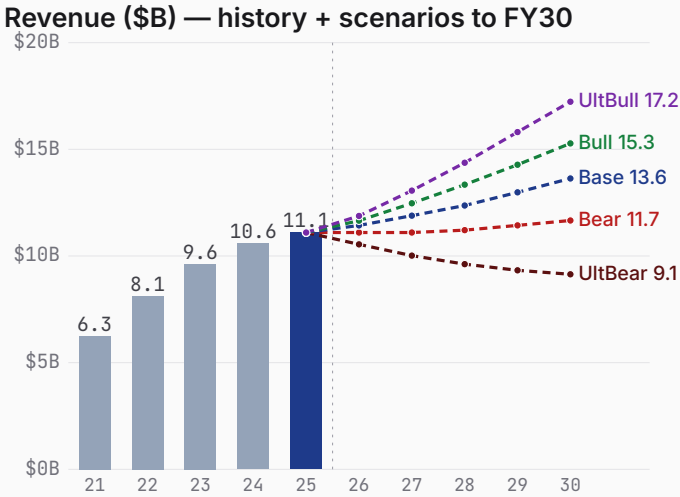
Ultra Bear 15% Bear 27% Base 45% Bull 10% Ultra Bull 3% · Weighted expected \$205.93 (+103.3% vs spot)

| ULTRA BEAR                                                                                                                                                                                                                | \$84.51        | BEAR                                                                                                                                                                                                       | \$157.77       | BASE                                                                                                                                                                                                                  | \$235.52        | BULL                                                                                                                                                                    | \$324.02        | ULTRA BULL                                                                                                                                                                                  | \$409.07        |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------|
|                                                                                                                                                                                                                           | -16.6% vs spot |                                                                                                                                                                                                            | +55.7% vs spot |                                                                                                                                                                                                                       | +132.5% vs spot |                                                                                                                                                                         | +219.9% vs spot |                                                                                                                                                                                             | +303.8% vs spot |
| Probability 15%                                                                                                                                                                                                           |                | Probability 27%                                                                                                                                                                                            |                | Probability 45%                                                                                                                                                                                                       |                 | Probability 10%                                                                                                                                                         |                 | Probability 3%                                                                                                                                                                              |                 |
| Brand impairment; US decline; margins crater.                                                                                                                                                                             |                | Share loss continues; US shrinks; capped.                                                                                                                                                                  |                | US stabilizes; China/international compounds.                                                                                                                                                                         |                 | New-CEO turnaround; margin recovery.                                                                                                                                    |                 | Full re-rate; China + footwear scale.                                                                                                                                                       |                 |
| WHY 15%                                                                                                                                                                                                                   |                | WHY 27%                                                                                                                                                                                                    |                | WHY 45%                                                                                                                                                                                                               |                 | WHY 10%                                                                                                                                                                 |                 | WHY 3%                                                                                                                                                                                      |                 |
| The genuine bear: the founder himself called the product stale, US (50%+ of sales) is already declining, and DTC share fell 30%→24% in a year. 15% weight on real brand impairment.                                       |                | Share loss continues and the dupe pressure caps the multiple, but the brand doesn't break. 32% weight as the plausible 'stalls but survives' path given the bearish US momentum.                           |                | Requires US stabilization (not re-acceleration) plus continued international compounding — consistent with FY26 guidance. 33% as the central outcome; the brand's cornered-resource fabrics + community don't vanish. |                 | O'Neill's product fix works and the US re-accelerates while international compounds — a real turnaround. ~15% weight; lululemon has done it before.                     |                 | Everything works — US turnaround AND China AND categories AND a multiple re-rating. ~5%, the asymmetric upside the depressed entry is buying.                                               |                 |
| WHAT HAPPENS                                                                                                                                                                                                              |                | WHAT HAPPENS                                                                                                                                                                                               |                | WHAT HAPPENS                                                                                                                                                                                                          |                 | WHAT HAPPENS                                                                                                                                                            |                 | WHAT HAPPENS                                                                                                                                                                                |                 |
| Brand heat fades like Under Armour's: US revenue keeps declining, Alo/Vuori and dupes take share, and the full-price model erodes into promotions. Revenue falls ~4%/yr; operating margins compress toward single digits. |                | The US stays soft and international decelerates; lululemon holds its position but doesn't grow, and tariffs/promotions keep margins below the historical peak. Revenue roughly flat, low-teens FCF margin. |                | The modal path: the US stabilizes under new CEO Heidi O'Neill (ex-Nike) while China/international keep compounding ~20%, blending to ~4% total growth at a defended ~22% operating margin.                            |                 | The turnaround lands: product newness re-accelerates the US, international/China stay hot, footwear/men's scale, and margins recover toward 24%. Revenue compounds ~7%. |                 | The full turnaround: China becomes a second home market, footwear/men's/international all compound, and lululemon re-rates to a premium growth multiple. Revenue ~10% CAGR at peak margins. |                 |
| A shrinking premium brand earns a distressed multiple — DCF ~\$85, ~33% below spot. The net cash and buyback cushion the floor but can't offset structural impairment.                                                    |                | DCF ~\$158 (+24%) — even a 'dominant but ex-growth' brand at ~11x FCF is worth more than today's price; the de-rating already prices worse.                                                                |                | DCF ~\$236 (+85%). A stabilizing premium brand at 10x FCF with a long international runway is simply mispriced if the modal case plays out — the core of the thesis.                                                  |                 | DCF ~\$324 (+155%) — back toward the old growth-compounder valuation as the brand re-rates with the fundamentals.                                                       |                 | DCF ~\$409 (+222%) — the brand reclaims its compounder status; ~5% probability.                                                                                                             |                 |

Lululemon Athletica business snapshot

Bear \$157.77 Base \$235.52 Bull \$324.02

FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end late Jan · FY2025 (Feb'26) results



Sources: lululemon FY2025 results (year ended Feb 1, 2026; revenue \$11.1B, FCF ~\$1.58B, net cash ~\$1.8B), FY2026 guidance, Earnest/Retail Dive share data. Revenue as a growth-rate path off FY25; FCF = revenue x FCF margin; Gordon terminal at scenario WACC. EV/sales vs premium-apparel peers.

# Lululemon Athletica 7 Powers · the moat, scored

Bear \$157.77 Base \$235.52 Bull \$324.02

**Arena.** Premium athleisure — lululemon (brand + proprietary fabrics, ~60% DTC) vs Nike, Alo Yoga, Vuori, Athleta, On, fast-fashion dupes; defending a premium brand Power as US share erodes. **POWER AUDIT** dominant-power durability: medium

POWER AUDIT · 7 POWERS

|                              |                                                                                                                 |
|------------------------------|-----------------------------------------------------------------------------------------------------------------|
| Scale Economies              | Sourcing/marketing leverage at \$11B revenue, but apparel scale is limited vs Nike.                             |
| Network Economies            | Community/ambassadors are brand affinity, not a hard network.                                                   |
| Counter-Positioning          | Was the women's-first disruptor; now the incumbent being counter-positioned by Alo/Vuori.                       |
| Switching Costs              | Weak — apparel is promiscuous; this is why dupes bite.                                                          |
| Branding · thesis leans here | The dominant Power: premium pricing, cult community, ~58% gross margin — but eroding in US (DTC share 30%→24%). |
| Cornered Resource            | Proprietary fabrics (Nulu/Luxtreme/Everlux) + fit/quality + patents — durable, the hardest piece to dupe.       |
| Process Power                | Design/supply learning curve; modest.                                                                           |

PEER SET

|                                                                                  |                             |
|----------------------------------------------------------------------------------|-----------------------------|
| Nike                                                                             | 2% gr · 11% mgn · ~25x P/E  |
| Scale leader, mid-cycle reset; women's/DTC is lululemon's edge vs Nike.          |                             |
| Alo Yoga                                                                         | · private                   |
| Influencer-led, fashion-forward; ~88% growth, taking US share at higher tickets. |                             |
| Vuori                                                                            | · private                   |
| Workout-to-everyday; ~33%+ growth, premium-priced, gaining share.                |                             |
| On Holding                                                                       | 30% gr · 10% mgn · ~45x P/E |
| Premium performance, fast-growing; adjacency pressure.                           |                             |

THREAT VECTORS · FALSIFIERS

- Branding** · Alo Yoga + Vuori (US share)  
**falsifier:** Americas revenue declines for 2+ years while DTC share falls below 22%.
- Counter-Positioning** · Fast-fashion dupes  
**falsifier:** Gross margin compresses below 55% on sustained promotions/markdowns.
- Scale Economies** · Nike / macro down-trade  
**falsifier:** International growth decelerates below 10% while the US keeps shrinking.

COMPETITIVE READ

lululemon's brand Power is genuinely durable internationally (China +29%, only 16% of revenue) and underpinned by cornered-resource fabrics, but it is eroding in the saturated US where Alo/Vuori and dupes are taking DTC share and the founder calls the product stale. The ~60% de-rating to ~10x FCF prices structural impairment; the DCF tests whether the brand stabilizes — and even a real-impairment ultra-bear is only ~34%, while the modal stabilization implies the sell-off overshoot.

Lululemon Athletica show your work

Bear \$157.77 Base \$235.52 Bull \$324.02 · Weighted \$205.93 (+103.3%)

| ULTRA BEAR                                |          |          |          |        | BEAR                                      |          |          |            |        | BASE                                      |          |          |            |        | BULL                                      |          |            |            |        | ULTRA BULL                                |          |            |            |        |
|-------------------------------------------|----------|----------|----------|--------|-------------------------------------------|----------|----------|------------|--------|-------------------------------------------|----------|----------|------------|--------|-------------------------------------------|----------|------------|------------|--------|-------------------------------------------|----------|------------|------------|--------|
| \$84.51                                   |          |          |          |        | \$157.77                                  |          |          |            |        | \$235.52                                  |          |          |            |        | \$324.02                                  |          |            |            |        | \$409.07                                  |          |            |            |        |
| ASSUMPTIONS                               |          |          |          |        | ASSUMPTIONS                               |          |          |            |        | ASSUMPTIONS                               |          |          |            |        | ASSUMPTIONS                               |          |            |            |        | ASSUMPTIONS                               |          |            |            |        |
| 5y revenue CAGR (%)                       |          |          |          |        | -3.8                                      |          |          |            |        | 5y revenue CAGR (%)                       |          |          |            |        | +1.0                                      |          |            |            |        | 5y revenue CAGR (%)                       |          |            |            |        |
| Year-5 op margin (%)                      |          |          |          |        | 12.0                                      |          |          |            |        | Year-5 op margin (%)                      |          |          |            |        | 20.0                                      |          |            |            |        | Year-5 op margin (%)                      |          |            |            |        |
| WACC (%)                                  |          |          |          |        | 11.5                                      |          |          |            |        | WACC (%)                                  |          |          |            |        | 10.5                                      |          |            |            |        | WACC (%)                                  |          |            |            |        |
| Terminal growth (%)                       |          |          |          |        | 0.0                                       |          |          |            |        | Terminal growth (%)                       |          |          |            |        | 1.5                                       |          |            |            |        | Terminal growth (%)                       |          |            |            |        |
| Terminal FCF (\$B)                        |          |          |          |        | \$0.73B                                   |          |          |            |        | Terminal FCF (\$B)                        |          |          |            |        | \$1.40B                                   |          |            |            |        | Terminal FCF (\$B)                        |          |            |            |        |
| Starting revenue (\$B)                    |          |          |          |        | 11.10                                     |          |          |            |        | Starting revenue (\$B)                    |          |          |            |        | 11.10                                     |          |            |            |        | Starting revenue (\$B)                    |          |            |            |        |
| Scenario probability (%)                  |          |          |          |        | 15                                        |          |          |            |        | Scenario probability (%)                  |          |          |            |        | 27                                        |          |            |            |        | Scenario probability (%)                  |          |            |            |        |
| 5-YEAR DCF · \$B                          |          |          |          |        | 5-YEAR DCF · \$B                          |          |          |            |        | 5-YEAR DCF · \$B                          |          |          |            |        | 5-YEAR DCF · \$B                          |          |            |            |        | 5-YEAR DCF · \$B                          |          |            |            |        |
| FY                                        | Rev      | Margin   | FCF      | PV FCF | FY                                        | Rev      | Margin   | FCF        | PV FCF | FY                                        | Rev      | Margin   | FCF        | PV FCF | FY                                        | Rev      | Margin     | FCF        | PV FCF | FY                                        | Rev      | Margin     | FCF        | PV FCF |
| FY26                                      | 10.54    | +16%     | +1.05    | +0.94  | FY26                                      | 11.10    | +18%     | +1.22      | +1.10  | FY26                                      | 11.43    | +21%     | +1.49      | +1.36  | FY26                                      | 11.65    | +22%       | +1.63      | +1.50  | FY26                                      | 11.88    | +23%       | +1.78      | +1.64  |
| FY27                                      | 10.02    | +14%     | +0.90    | +0.73  | FY27                                      | 11.10    | +18%     | +1.22      | +1.00  | FY27                                      | 11.89    | +21%     | +1.55      | +1.29  | FY27                                      | 12.47    | +23%       | +1.87      | +1.57  | FY27                                      | 13.06    | +24%       | +2.09      | +1.77  |
| FY28                                      | 9.62     | +12%     | +0.77    | +0.56  | FY28                                      | 11.21    | +19%     | +1.34      | +1.00  | FY28                                      | 12.37    | +22%     | +1.73      | +1.32  | FY28                                      | 13.34    | +23%       | +2.00      | +1.55  | FY28                                      | 14.37    | +24%       | +2.30      | +1.80  |
| FY29                                      | 9.33     | +12%     | +0.75    | +0.48  | FY29                                      | 11.44    | +19%     | +1.37      | +0.92  | FY29                                      | 12.98    | +22%     | +1.82      | +1.26  | FY29                                      | 14.28    | +24%       | +2.28      | +1.62  | FY29                                      | 15.81    | +25%       | +2.69      | +1.94  |
| FY30                                      | 9.14     | +12%     | +0.73    | +0.42  | FY30                                      | 11.66    | +20%     | +1.40      | +0.85  | FY30                                      | 13.63    | +22%     | +1.91      | +1.21  | FY30                                      | 15.28    | +24%       | +2.44      | +1.59  | FY30                                      | 17.23    | +25%       | +2.93      | +1.95  |
| Σ PV explicit FCF                         |          |          |          |        | +3.13                                     |          |          |            |        | Σ PV explicit FCF                         |          |          |            |        | Σ PV explicit FCF                         |          |            |            |        | Σ PV explicit FCF                         |          |            |            |        |
| + PV terminal (g 0.0%)                    |          |          |          |        | 3.69                                      |          |          |            |        | + PV terminal (g 1.5%)                    |          |          |            |        | + PV terminal (g 2.0%)                    |          |            |            |        | + PV terminal (g 2.5%)                    |          |            |            |        |
| EQUITY BUILD · \$B & PER SHARE            |          |          |          |        | EQUITY BUILD · \$B & PER SHARE            |          |          |            |        | EQUITY BUILD · \$B & PER SHARE            |          |          |            |        | EQUITY BUILD · \$B & PER SHARE            |          |            |            |        | EQUITY BUILD · \$B & PER SHARE            |          |            |            |        |
| Operating EV                              |          |          |          |        | \$6.82B                                   |          |          |            |        | Operating EV                              |          |          |            |        | Operating EV                              |          |            |            |        | Operating EV                              |          |            |            |        |
| + Cash & investments                      |          |          |          |        | \$1.80B                                   |          |          |            |        | + Cash & investments                      |          |          |            |        | + Cash & investments                      |          |            |            |        | + Cash & investments                      |          |            |            |        |
| = Equity value                            |          |          |          |        | \$8.62B                                   |          |          |            |        | = Equity value                            |          |          |            |        | = Equity value                            |          |            |            |        | = Equity value                            |          |            |            |        |
| FY30 shares (M)                           |          |          |          |        | 102                                       |          |          |            |        | FY30 shares (M)                           |          |          |            |        | FY30 shares (M)                           |          |            |            |        | FY30 shares (M)                           |          |            |            |        |
| = Expected per share                      |          |          |          |        | \$84.51                                   |          |          |            |        | = Expected per share                      |          |          |            |        | = Expected per share                      |          |            |            |        | = Expected per share                      |          |            |            |        |
| FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |          |          |          |        | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |          |          |            |        | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |          |          |            |        | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |          |            |            |        | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |          |            |            |        |
| +5y                                       | +10y     | +15y     | +20y     |        | +5y                                       | +10y     | +15y     | +20y       |        | +5y                                       | +10y     | +15y     | +20y       |        | +5y                                       | +10y     | +15y       | +20y       |        | +5y                                       | +10y     | +15y       | +20y       |        |
| \$145.64                                  | \$250.99 | \$432.54 | \$745.43 |        | \$259.92                                  | \$428.20 | \$705.44 | \$1,162.17 |        | \$370.76                                  | \$583.67 | \$918.84 | \$1,446.47 |        | \$498.54                                  | \$767.07 | \$1,180.24 | \$1,815.94 |        | \$615.10                                  | \$924.90 | \$1,390.73 | \$2,091.18 |        |
| 1.44×                                     | 2.48×    | 4.27×    | 7.36×    |        | 2.57×                                     | 4.23×    | 6.96×    | 11.47×     |        | 3.66×                                     | 5.76×    | 9.07×    | 14.28×     |        | 4.92×                                     | 7.57×    | 11.65×     | 17.93×     |        | 6.07×                                     | 9.13×    | 13.73×     | 20.64×     |        |



# Lululemon Athletica

People · Opportunity · Context · Deal

Bear \$157.77 Base \$235.52 Bull \$324.02

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Interim co-CEOs (M. Frank, A. Maestrini)

7%insider ownership

MEDIUMkey-person risk

**Capital allocation (realized)**  
No dividend; capital returned via large executed buybacks (~\$2.5B / 9.1M shares Dec-2023→Aug-2025; +\$1.0B Dec 2025, ~\$1.6B remaining), otherwise reinvested in stores/product. The one notable deal — Mirror (~\$500M, 2020) — failed: a ~\$443M post-tax impairment (FY2022), hardware ceased 2023.

**Incentive alignment**  
Standard structure (base + cash bonus + majority-equity PSU LTI). Say-on-pay passed but support slipped 93% (2024) → 83% (2025), into the range proxy advisors flag, and two directors drew weak support (76% / 72%).

GOVERNANCE FLAGS

- single-class (one share, one vote)
- independent chair, separate from CEO; but classified (staggered) board
- founder Chip Wilson ~8.7% (off the board since 2015) ran a public proxy fight
- settled May 2026: 2 Wilson nominees (+1 more) + a declassification commitment; ~18-mo standstill

PEOPLE READ

Professionalized and single-class with an independent chair and disciplined buybacks — but a live governance moment: CEO Calvin McDonald is out (Jan 2026; interim co-CEOs + external search), a founder proxy fight just settled (Chip Wilson ~8.7%, two board seats), a classified board, the failed Mirror deal, and slipping say-on-pay support.

THE FOUR LEGS

**People**  
observable composite · 1–5

**Opportunity**  
The scenario distribution · the business snapshot · the Arthur Indicator (LULU 1.95)

**Context**  
The 7 Powers analysis (Power Audit)

**Deal**  
Open-market common — entry price weighed against the probability-weighted fair value (the +65% finding), then position-sized.



# Lululemon Athletica

supporting analysis · disclaimers · glossary

Bear \$157.77 Base \$235.52 Bull \$324.02

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

- 1

**~10x FCF for a 22%-margin brand.**  
Net-cash, \$1.58B FCF, ~22% operating margin — priced like a terminal-decline retailer, not a premium brand.
- 2

**Cornered-resource fabrics.**  
Proprietary Nulu/Luxtreme/Everlux blends + fit/quality are the hardest thing for Alo/Vuori/dupes to replicate.
- 3

**Huge international runway.**  
China +29%, international +22%, only ~16% of revenue — a multi-year growth engine the US weakness masks.
- 4

**Heavy buyback at the lows.**  
No dividend; ~\$1.6B authorization remaining, retiring shares at ~10x FCF — accretive.
- 5

**New CEO from Nike.**  
Heidi O'Neill (ex-Nike) + a settled founder proxy fight = fresh product/turnaround optionality.

FALSIFICATION TRIGGERS

|                                                                                                                                                       |                                                                                                                                                  |                                                                                                                                                                                |
|-------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Bull validation</b><br>US/Americas revenue returns to growth · international stays >20% · gross margin re-expands above 58% · footwear/men's scale | <b>Bear validation</b><br>Americas declines for 2+ years · DTC share falls below 22% · gross margin compresses below 55% on sustained promotions | <b>Reframe needed</b><br>if the brand goes structurally cold (Under-Armour path) the cornered-resource Power erodes — re-rate the terminal toward a commodity-apparel multiple |
|-------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

DISCLAIMERS · PLEASE READ BEFORE USING THIS DOCUMENT

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

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| <b>DTC / wholesale</b> — Direct-to-consumer (stores + digital, ~60% of sales, higher margin) vs wholesale; the channel mix that supports the brand premium. | <b>Dupes</b> — Lower-priced look-alikes (and premium challengers Alo/Vuori) eroding lululemon's US share — the central bear mechanism. | <b>Power of Three x2</b> — Management's plan to double men's + digital and quadruple international vs 2021 — now at risk on the FY26 guide. |
| <b>Cornered resource</b> — Helmer Power: proprietary fabrics + fit/quality that rivals can't easily copy — lululemon's most durable moat.                   | <b>FCF margin</b> — Free cash flow / revenue (~14% in FY25); the mature-DCF lever the 22% operating margin converts to.                |                                                                                                                                             |